IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 45 (ND) of 2021

IN THE MATTER OF:

Sections 230-232 and 66 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

CAMPUS AI PRIVATE LIMITED
J-17, Udyognagar, New Delhi-110041

....Applicant No. 1/Transferor Company

WITH

CAMPUS ACTIVEWEAR PRIVATE LIMITED
D-1, Udyog Nagar, Main Rohtak Road, Delhi-110041

....Applicant No. 2/Transferee Company

ORDER DELIVERED ON: 22.12.2021

CORAM:
MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)
MR. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

For Petitioner(s): Rajeev Goel & Associates

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 and 66 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Arrangement (for brevity "The Scheme") proposed between the transferor company and the transferee company. In terms of Sections 230 and 232 and 66 of the Act following prayers have been made for orders:-

a) *Dispense with the requirement of convening meeting of Equity Shareholders of the Transferor Company and the Transferee Company;*
b) *Dispense with the requirement of convening meetings of Secured Creditors and Un-secured Creditors of the Transferor Company;*
c) *Direct service of notice of the present application on (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, New Delhi; (c) the Official Liquidator, New Delhi; (d) the Income Tax Department; and*
d) *Pass such other/further order(s) as this Hon'ble Tribunal may deem fit and proper.*

2. An Affidavit in support of the application sworn for and on behalf of both the Applicant Companies has been filed by one Mr. Raman Chawla being the authorized signatory.

3. It is stated that the present Scheme is for the arrangement in the form of amalgamation of Wholly Owned Subsidiary with its Holding Company and no new shares will be issued pursuant to the arrangement. The Scheme provides for Reduction of post-merger Share Capital of the Transferee Company and adjustment of securities premium of the Transferee Company with the debit balance of Capital Reserve.

4. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

5. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 01.04.2020.

6. In relation to the Transferor Company, it has been represented that the company has two Equity Shareholders and consent affidavits from both the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferor Company has one Secured Creditor and 112 Unsecured Creditors, out of which the consent affidavits of the Secured Creditor and 34 Unsecured Creditors constituting 92.19% of the total value have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company seeks dispensation from convening and holding of their respective meetings, on the ground that all the shareholders, the

secured creditor and 34 unsecured creditors, who are holding 92.19% in value have given their consent affidavits in favour of the Scheme.

7. In relation to the Transferee Company, it has been represented that the company has 8Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferee Company has 3 Secured Creditors and 485 Unsecured Creditors out of which the consent affidavits of 2 Secured Creditors constituting 99.75% of the total value and 138 Unsecured Creditors constituting 93.04% of the total value have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all the shareholders, 2 Secured Creditors constituting 99.75% of the total value and 138 Unsecured Creditors constituting 93.04% of the total value have given their consent affidavits in favour of the Scheme.

8. We have heard the Ld. Counsel for the Applicant Companies and perused the application and the enclosed documents filed along with the Scheme of Arrangement contemplated between the Companies.

9. Transferor Company-CAMPUS AI PVT LTD was incorporated on 07.02.2020 in the state of Delhi under the provisions of Companies Act, 2013. The authorised share capital of the Company is Rs 20,00,000/- only divided into 2,00,000/- equity shares of Rs. 10 each . The issued, subscribed and paid-up share capital of the Company is Rs. 19,85,830/- divided into 1,98,583 equity shares of Rs. 10/- each.

10. Transferee Company- CAMPUS ACTIVEWEAR PVT LTD was incorporated on 24.09.2008 in the state of Delhi under the provisions of

Companies Act, 1956. The authorised share capital of the Company is Rs. 453,50,00,000 divided into 45,35,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 1,51,87,15,640 divided into 15,18,71,564 equity shares of Rs. 10/- each.

11. It is seen that the Board of Directors of both the Applicant Companies vide meetings held on 11.11.2020 have unanimously approved the proposed Scheme of Arrangement. Copies of such resolutions passed thereat have been placed on record.

12. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020.

13. The Applicant Companies have filed the Affidavit dt. 03.08.2021 that no inspection, inquiry or investigation is pending against any of the Applicant Companies.

14. Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

15. There are two decisions of three members Bench of NCLT, on the point of dispensation of the meeting of the shareholders, viz. the decision dt. 17.05.2017 of NCLT Kolkata Bench in ***Jupiter Alloys & Steel India Limited in TA No. 11/2017***and the decision dt. 31.05.2021 of NCLT New Delhi in ***Quick Calls Pvt Ltd CA (CAA) No. 75/230-232/ND/2020.*** In both the aforesaid decisions, contradictory view has been taken.

16. However, recently the Hon'ble NCLAT, vide judgment dt. 06.04.2021 in the matter of ***Ambuja Cements Ltd. Company Appeal (AT) No. 19 of 2021***, held that:

> *"37. From the above Judgment of the Hon'ble High Court of Bombay in the matter of* ***'Mahaamba Investments Ltd.'vs 'IDI Ltd.'****, whereby it is clear that an Application filed by the Transferor Company or Transferee Company, a separate Application is not necessary by the Transferee/Transferor Company. Further, this Tribunal in the matter of* ***'DLF Phase – IV Commercial Developers Ltd. & Ors'****. dispensed with the meetings of the Creditors and shareholders. However, the facts of the DLF matter are little different i.e. in the DLF matter the written consent was obtained by way of an 'Affidavit'. This Tribunal allowed the Appeal by setting aside the order of the Tribunal where the Learned Tribunal rejected the approval seeking the dispensation of the meetings of creditors and shareholders. However, in the present case we are of the view that the Learned Tribunal ought to have dispensed with the meetings of the Equity shareholders and Creditors of the Appellant Company. The only objection taken by the Learned NCLT that no written consent by way of an Affidavit' of the Shareholders and Creditors, were filed.*
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> *38. We are of the view that as held by the Hon'ble Supreme Court that a Coordinate Bench of a court cannot pronounce Judgement contrary to declaration of law by another Bench. In the Present case, the Tribunal (NCLT) Ahmedabad Bench erred in not following its own order passed in* ***'Vodafone Idea Ltd'****, Wherein similar facts are involved in both the cases.*

Conclusion:

39. In view of the forgoing reasons we set aside the order of the Learned NCLT dated 10.12.2020 in CA (CAA) No. 50 of 2020. Accordingly, we dispense with the meetings of the Equity shareholder, Secured and Unsecured Creditors of the Appellant Company. The matter is remanded back to the NCLT for further Consideration."

17. Further, the above view is reiterated in the judgment dt. 28.06.2021 of Hon'ble NCLAT in the matter of ***Mohit Agro Commodities Processing Pvt. Ltd. Company Appeal (AT) No. 59 of 2021***. The relevant para is quoted below:-

*"20. This Tribunal has placed reliance in **'DLF Phase IV, Commercial Developers Limited and Ors.' in Company Appeal (AT) No. 180 of 2019** and observed that the scheme would not prejudicially affect the Creditors or Shareholders of the Appellant Company when an Application is filed by the 'Transferor Company' or 'Transferee Company', a separate Application is not necessary and dispensed with the meeting of the equity Shareholders and Creditors of the Appellant Company. At the cost of repetition, keeping in view that the financial position of the 'Transferee Company' is highly positive, the merger does not involve any compromise/arrangement with any Creditor of the Company, that there would be a positive net worth and Creditors would not be compromised, the Tribunal ought to have exercised the discretion in dispensing with the requirement of convening the meeting which would facilitate ease of doing business and save time and resources. To reiterate, we observe that the rights and liabilities of Secured and Unsecured Creditors were*

not getting affected in any manner by way of the proposed scheme as no new shares are being issued by the 'Transferor Company' and no compromise is offered to any Secured and Unsecured Creditors of the 'Transferee Company'. Therefore, we are of the considered view that when the 'Transferor and Transferee Company' involve a parent Company and a Wholly Owned Subsidiary the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with as the facts of this case substantiate that the rights of the Equity Shareholders of the 'Transferee Company' are not being affected."

18. In sequel to above and in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given:-

A. In relation to the Transferor Company:

i. With respect to Shareholders:

It is represented by the Transferor Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

It is represented by the Transferor Company that the Secured Creditor has already placed its consent-affidavit on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

iii. With respect to Unsecured Creditors:

It is represented by the Transferor Company that 34 out of 112 Unsecured Creditors constituting 92.19% of the total value have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

B. In relation to the Transferee Company:

i. With respect to Shareholders:

It is represented by the Transferee Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

It is represented by the Transferee Company that 2 out of 3 Secured Creditors constituting 99.75% of the total value have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

iii. With respect to Unsecured Creditors:

It is represented by the Transferee Company that 138 out of 485 Unsecured Creditors constituting 93.04% of the total value have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

19. **Accordingly, in terms of the above order, CA (CAA) 45 (ND) of 2021 is allowed.**

[redacted] 22/12/2021

(AVINASH K. SRIVASTAVA)
Member (T)

[redacted]

(ABNI RANJAN KUMAR SINHA)
Member (J)